

T. BOONE PICKENS, JR.

1928–

T. Boone Pickens earned a reputation as a raider for taking large investment positions in a number of oil companies. Along the way, he has been called many other things, including a greenmailer, a communist, and a piranha. Pickens' disillusionment with corporate America came early in his career. After studying geology at Oklahoma State University, Pickens' first job was with Philips Petroleum in 1951 as an oil-well site geologist. Disappointed with the company's bureaucracy, he quit at age 26. For the next couple of years, he lived out of his station wagon as he drove around Texas, prospecting land to drill and raising financing to do it. In 1956, with two partners and \$2,500, Pickens founded the company that would become Mesa Petroleum and would evolve into the largest independently owned oil and gas company in the United States.

Pickens, who had expanded his drilling efforts into Canada and the North Sea, was looking for a quantum leap in value, and a takeover was just the thing. His first target was Cities Service, an oil company that was number 38 on the Fortune 500 list in 1982. Over a couple of years Pickens bought enough Cities stock to make a serious offer, but then Gulf and Occidental Petroleum entered the picture and thwarted his takeover attempt. Regardless, Pickens pocketed a cool \$32 million. And he set his sights on Gulf.

In 1983, the oil industry was hurting, and Pickens was desperate to either raise some cash or successfully take over another company with plenty of resources. He chose to target Gulf, building up a 13.2 percent stake. The battle got ugly, with Gulf hiring detectives to dig up dirt on him. In 1984, Gulf accepted a friendly offer from Socal; the combined companies renamed themselves Chevron. Pickens' profit: \$218 million. Whether Pickens was truly interested in enhancing the value of these companies through better management, as he claimed, or was simply looking to make a buck, is still up for debate. However, in *Professions of a Short-Termer*, he defends his position and attacks executives concerned only with keeping their jobs and not with what's best for the shareholders.